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Payments and Processing | North America

MA/V Institutional Ownership:
V's Ownership vs. S&P Weight
Near Historical Lows

MA+V have been consistently over-owned relative to their S&P 500 weight since 2010, though the level of V's over-ownership has been near all-time lows since 2Q25. The card network stocks have underperformed the S&P by 20-36 percentage points YTD.

AlphaWise 

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V's over-ownership relative to its S&P 500 weight continues to be below historical averages, while MA more in-line. We tracked quarterly ownership data for MA/V since 2Q10, which is based on each company's average weight within the top 100 actively managed institutional portfolios relative to that same company's weighting in the S&P 500. For 1Q26, Visa's portfolio concentration was 1.40%, reflecting a 48bp above-benchmark difference to its S&P 500 weight of 0.93%, while Mastercard's portfolio concentration was 1.42%, reflecting a 68bp above-benchmark difference to its S&P 500 weight of 0.74% ([Exhibit 1](#) and [Exhibit 4](#)). While both MA/V have been over-owned vs. their respective S&P 500 weights since 2010, we note that the level of over-ownership for Visa is close to historical lows, as the average over-ownership for V is 88bps on a 15YR basis and 91bps on 5YR basis vs. the 48bps currently, which is near the bottom of its historical relative ownership range. Mastercard's ownership differential is also below historical levels of 74bps on a 15YR basis and 87 bps on a 5YR basis, vs. the 68bps currently ([Exhibit 3](#)).

Poor performance likely related in part to flow of funds. As we've previously highlighted, we think MA and V's relative underperformance vis-à-vis the S&P 500 can largely be attributed to periods of bank outperformance (since 5/28, V down 3.6%; MA down 4% ; S&P 500 up 0.6%, while Dow Jones US Banks Index up 1.1%), given the historical inverse correlation we've identified (see here: [Proprietary Trading Analysis: MA & V Weakness Related More to Bank Outperformance vs. Macro/Disruption Concerns \(8 Apr 2026\)](#)).

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**PAYMENTS AND PROCESSING****North America**

Industry View

Attractive

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- **Visa (V):**

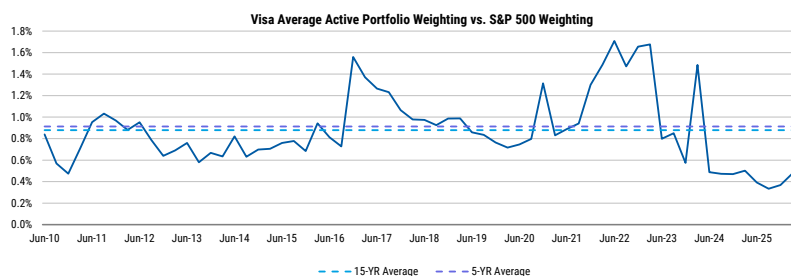
- **Institutional Ownership:** Visa's active institutional ownership portfolio weighting increased 2bps Q/Q in 1Q26, while Visa's S&P 500 weighting decreased 9bps Q/Q to 0.93% in 1Q26. As a result, the spread between Visa's S&P 500 weighting and active ownership increased 9 bps Q/Q to 0.48% in 1Q26, though that still remains near historical lows (average spread is 0.91% over last five years). Notably, Visa's over-ownership levels hit the lowest spread level in 15 years in 3Q25, and has remained near lows since.

- **Mastercard (MA):**

- **Institutional Ownership:** Mastercard's active institutional ownership portfolio weighting decreased 5bps Q/Q in 1Q26 to 1.42%, while Mastercard's S&P 500 weighting decreased 5bps to 0.74%. As a result, the spread between Mastercard's S&P 500 weighting and active ownership decreased 2bps to 0.68% (v.s 0.87% average over last five years).

We remain OW MA & V as we think investors should look favorably on the relative stability of EPS growth, helped by a significant contribution from resilient PCE, cross-border, VAS, and New Flows. We believe that MA & V should compound at least at the rate of its EPS growth, with modest multiple expansion as investors appreciate the durability and defensibility of growth in a range of macro scenarios, and as they begin to view stablecoin and agentic as incremental opportunities rather than risks. In our note, [9 Most Important Things Investors Miss About Visa and Mastercard](#), we highlight 9 underappreciated pillars of Visa and Mastercard, including their nearly undisruptable network performance, defensibility through economic cycles, and substantial flexibility of spend and capital return.

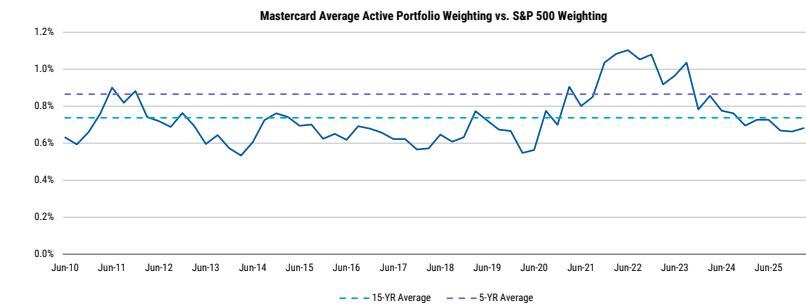
Exhibit 1: Visa's active institutional ownership below historical levels relative to its S&P 500 weighting.



Source: FactSet, AlphaWise, Morgan Stanley Research

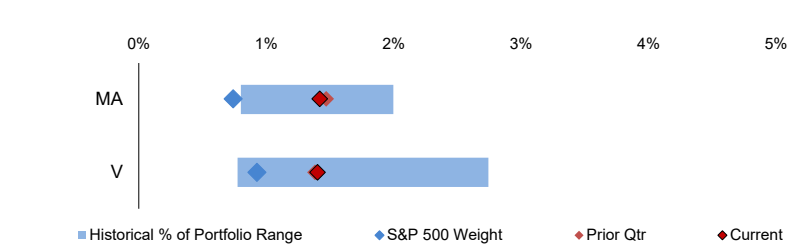
Note: Based on 13-F filings for the period from 2Q10 to 1Q26

Exhibit 2: Mastercard's active institutional ownership in-line with historical levels relative to its S&P 500 weighting.



Source: FactSet, AlphaWise, Morgan Stanley Research
Note: Based on 13-F filings for the period from 2Q10 to 1Q26

Exhibit 3: Institutional Ownership of V/MA Among Top 100 Holders as of 1Q26.



Source: Factset, Morgan Stanley Research
Note: Based on 13-F filings for the period from 2Q10 to 1Q26

Exhibit 4: Institutional Ownership Data for V/MA including Portfolio Concentration and Top 100 Holders as % of Total Ownership as of 1Q26.

Company	S&P500 Ticker	S&P500 Weight	Portfolio Concentration							Top 100 Holders as % of Total				Period
			Current	Prior Qtr	Q/Q Change	Min	Average	Max	Max-Min	Current	Min	Average	Max	
MA		0.74%	1.42%	1.47%	-0.05%	0.80%	1.40%	2.00%	1.20%	57.9%	55.0%	59.2%	72.0%	2026Q1
V		0.93%	1.40%	1.38%	0.02%	0.77%	1.74%	2.74%	1.97%	61.6%	57.8%	66.1%	70.0%	2026Q1

Source: Factset, AlphaWise, Morgan Stanley Research
Note: Based on 13-F filings for the period from 2Q10 to 3Q24

Valuation Methodology and Risks

MasterCard Inc (MA.N)

Based on a 30x target P/E multiple on our base-case 2027 EPS estimate. This target multiple is generally in-line with where MA has historically traded and at a ~8x premium to where the stock currently trades.

Risks to Upside

- Uptick in consumer spending trends
- New client wins in the US/Europe

Risks to Downside

- Impact from regulatory action in Europe and elsewhere
- Material slowdown in consumer spending
- Potential for market share loss in Europe as V becomes more aggressive

Visa Inc. (V.N)

Based on 27x target P/E multiple on our base-case CY27 EPS estimate. This target multiple is slightly below V's 5-year average multiple and at a ~6x premium to where V currently trades.

Risks to Upside

- Faster than expected recovery of cross-border tourism
- Ability to continue to meet/beat expectations
- Faster-than-expected adoption/scaling of B2B solutions, driving multiple expansion

Risks to Downside

- Material slowdown in consumer spend; Slow recovery in cross-border growth
- Portfolio losses in the US
- Regulatory changes in key markets promoting domestic schemes

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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Stock Price, Price Target and Rating History (See Rating Definitions)

MasterCard Inc (MA.N) - As of 06/04/26 GMT in USD
Industry : Payments and Processing



Stock Rating History: 6/1/21 : 0/A

Price Target History: 4/30/21 : 444; 7/30/21 : 451; 10/29/21 : 448; 1/28/22 : 449; 4/21/22 : 442; 4/29/22 : 452; 7/29/22 : 457; 10/3/22 : 441; 10/28/22 : 437; 1/27/23 : 438; 4/28/23 : 440; 7/28/23 : 443; 10/27/23 : 439; 2/1/24 : 536; 5/2/24 : 524; 7/22/24 : 540; 11/1/24 : 544; 11/14/24 : 564; 12/18/24 : 654; 1/31/25 : 644; 5/2/25 : 639; 8/1/25 : 661; 10/31/25 : 665; 1/30/26 : 678; 5/1/26 : 679

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Visa Inc. (V.N) - As of 06/04/26 GMT in USD
Industry : Payments and Processing



Stock Rating History: 6/1/21 : 0/A

Price Target History: 4/28/21 : 279; 7/28/21 : 282; 10/27/21 : 280; 1/28/22 : 283; 4/21/22 : 279; 4/27/22 : 284; 7/27/22 : 291; 10/3/22 : 282; 10/26/22 : 284; 1/27/23 : 288; 4/26/23 : 290; 7/26/23 : 292; 1/26/24 : 318; 7/22/24 : 326; 7/24/24 : 322; 10/30/24 : 326; 12/18/24 : 371; 1/31/25 : 386; 7/30/25 : 402; 10/29/25 : 398; 1/30/26 : 411; 4/29/26 : 415

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

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INDUSTRY COVERAGE: Payments and Processing

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/03/2026)
James E Faucette Affirm Holdings Inc (AFRM.O)	O (02/03/2026)	\$66.27

Automatic Data Processing Inc (ADPO)	E (02/25/2021)	\$227.75
Block, Inc (XYZ.N)	O (02/27/2026)	\$69.80
Broadridge Financial Solutions Inc. (BR.N)	E (12/14/2022)	\$152.59
Chime Financial Inc (CHYM.O)	O (07/07/2025)	\$17.65
Circle Internet Group Inc. (CRCL.N)	E (02/02/2026)	\$90.13
Evertec Inc (EVTC.N)	E (11/21/2024)	\$22.57
Fidelity National Information Services (FIS.N)		\$40.86
Fiserv Inc. (FISV.O)	E (10/30/2025)	\$55.08
Galaxy Digital Inc. (GLXY.O)	O (11/06/2025)	\$28.49
Global-e Online Ltd. (GLBE.O)	O (03/26/2025)	\$31.79
Global Payments Inc (GPN.N)		\$67.85
i3 Verticals Inc (IIIV.O)	E (07/26/2021)	\$19.61
Jack Henry & Associates, Inc. (JKHY.O)	E (06/15/2022)	\$133.13
Klarna Group Plc (KLAR.N)	E (10/06/2025)	\$16.95
MasterCard Inc (MA.N)	O (03/28/2016)	\$471.55
Paychex Inc (PAYX.O)	E (02/25/2021)	\$98.45
PayPal Holdings, Inc. (PYPL.O)	U (12/18/2025)	\$42.61
Repay Holdings Corporation. (RPAY.O)	E (10/05/2020)	\$3.65
Shift4 Payments Inc. (FOUR.N)	E (08/25/2023)	\$40.22
SS&C Technologies Holdings, Inc. (SSNC.O)	E (10/28/2019)	\$67.97
Upstart Holdings, Inc. (UPST.O)	E (02/14/2025)	\$30.29
Verra Mobility Corp (VRRM.O)	E (05/26/2021)	\$4.13
Visa Inc. (V.N)	O (03/28/2016)	\$312.40
Western Union Co (WU.N)	U (02/02/2015)	\$7.90
Michael N Infante		
Clearwater Analytics Holdings, Inc. (CWAN.N)	E (01/27/2026)	\$24.39
Corpay Inc (CPAY.N)	O (01/26/2026)	\$352.25
Flywire Corp (FLYW.O)	O (03/02/2026)	\$14.61
Marqeta, Inc. (MQ.O)	E (02/25/2026)	\$3.87
nCino, Inc. (NCNO.O)	O (09/10/2025)	\$15.88
NerdWallet Inc. (NRDS.O)	U (03/13/2026)	\$8.02
Q2 Holdings Inc (QTWO.N)	E (08/10/2020)	\$45.42
WEX Inc (WEX.N)	E (02/25/2021)	\$145.87

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.